ENHANCED PENSION LOAN APPLICATION

Form No. 08032020-EPLA-REV 0

IMPORTANT: ***Proceeds of this loan will be credited to the eCard/UMID account of the pensioner/borrower. Prior to the filing of the accomplished application form, the pensioner/borrower must: (a) secure a tentative computation of the net loan proceeds; and, (b) read carefully the terms and conditions below.***

TO BE FILLED OUT BY THE PENSIONER/APPLICANT

Name of Applicant:_____
Last Name First Name Middle Name

Birth Date: _____ Age: _____ Pensioner ID No. _____

Mailing/Residential Address: _____
No. Street. Brgy/District Municipality/City Zip Code

Landline No. _____ Cellphone No. _____ Email Address: _____

NO. OF PENSION MONTHS TO DETERMINE LOAN AMOUNT:
(Please encircle your choice or indicate preferred loan amount but not to exceed P500, 000.00)

BASIC MONTHLY PENSION

1 Mo.	2 Mos.	3 Mos.	4 Mos.	5 Mos.	6 Mos.

TYPE OF LOAN: ☐ New ☐ Renewal

AGREEMENT

I hereby acknowledge as my indebtedness to the GSIS whatever amount is approved as my Pension Loan. I agree to pay my loan in twenty-four (24) months.

I agree that the loan principal, interest and other charges due shall be payable in equal monthly amortization to be deducted from my monthly pension from the GSIS. For this purpose, I hereby authorize the GSIS to deduct from my monthly pension the required monthly amortization. Finally, I agree that my Pension Loan shall, at all times, be subject to the terms and conditions mentioned in this application.

Upon filing of this application, it is understood that I have previously secured a tentative computation of the net loan proceeds I will receive and that I fully conform to the terms and conditions.

TERMS AND CONDITIONS

1. **ELIGIBILITY REQUIREMENTS**. Qualified loan borrowers shall be old-age GSIS pensioners who are currently receiving monthly pension for at least a month and who have no outstanding service loans being amortized under the Choice of Loan Amortization Schedule for Pensioners (CLASP) and/or the GSIS Program for Restructuring and Repayments of Debts (GSIS-PRRD) at the time of filing.

2. **APPLICATION.** Application shall be through the GWAPS Kiosk located in the GSIS offices, government offices and malls or online loan application made through the GSIS website and sent to designated GSIS email addresses or through eGSISMO. For over-the-counter application at any GSIS office, the pensioner shall personally submit a properly accomplished application form, undergo strict validation procedure and present a copy of his or her eCard or UMID card, or in the absence thereof, any two (2) government-issued IDs bearing the photograph and signature of the pensioner.

3. **AMOUNT OF THE LOAN.** The amount that a qualified pension loan borrower can avail shall be up to six (6) times his or her Basic Monthly Pension (BMP) but not more than P500,000.00. The resulting net monthly pension after pension loan availment and Pensioners Emergency Loan (if any) must be at least twenty-five percent (25%) of the BMP.

   If the pensioner fails to satisfy the 25% resulting net monthly pension after deducting the loan amortization/s, the gross loan amount will be recalculated to a lower amount.

   Further, if the pensioner fails to indicate the preferred loan amount in the application form, the same shall be considered as an application for the maximum loan amount to which he or she is entitled.

4. **TARGET PROCESSING TIME.** Loans applied through the GWAPS kiosks shall be electronically processed within the day. Loans applied through OTC facility shall be processed within the day of the application if received by the processing units before 12:00 noon. For applications received after 12:00 noon, these will be processed by the next working day. Loans filed through online application and eGSISMO shall be processed within three (3) working days upon receipt of complete requirements.

5. **eCREDITING OF THE LOAN PROCEEDS.** The loan proceeds shall be eCredited to the pensioner's eCard or UMID card account.

6. **DUE DATE OF FIRST MONTHLY AMORTIZATION AND SUCCEEDING MONTHLY AMORTIZATION.** The first (1st) monthly amortization shall be due on the first (1st) day of the month following the granting of the pension loan and every 1st day of each month thereafter until the pension loan is fully paid.

7. **TERMS OF PAYMENT.** The loan principal, interest and other charges due shall be payable in twenty-four (24) equal monthly amortizations.

   The monthly amortization shall be deducted from the borrower's monthly pension from GSIS. It is understood that the pensioner cannot authorize the stoppage of such pension deduction until the loan and other charges that have accrued thereon are fully paid.

   In the event that deduction is not effected due to suspension of pension because of dismissal from service, existing policies on handling of claims with decided cases of dismissal from service with accessory penalty of forfeiture of benefits shall apply.

   For pensioners whose monthly pension were suspended due to failure to comply with the requirements under the Annual Pensioners Information Revalidation (APIR), unpaid amortizations will be automatically deducted from their accrued pension once their status becomes active. No penalties will be imposed on the loan account and it will not advance into a due and demandable account.

8. **INTEREST RATE AND SERVICE FEE.** The pension loan shall incur interest at the rate of ten percent (10%) per annum computed in advance. A service fee of two percent (2%) of the gross loan amount shall be charged and deducted from the proceeds of the loan. Effective Interest Rate is 19.747% based on a 24-month repayment period.

9. **REDEMPTION INSURANCE.** The pension loan shall be covered by a loan Redemption Insurance (RI) whereby, in the event of the death of the pensioner, the theoretical balance of the loan shall be considered paid.

Monthly premiums for the LRI coverage shall be in accordance with the following schedule of LRI premiums:

Age	RI rate per P1,000.00	Age	RI rate per P1,000.00	Age	RI rate per P1,000.00	Age	RI rate per P1,000.00
52	0.53	64	1.54	76	4.73	88	13.17
53	0.58	65	1.69	77	5.16	89	14.16
54	0.63	66	1.85	78	5.62	90	15.20
55	0.69	67	2.02	79	6.11	91	16.32
56	0.76	68	2.20	80	6.65	92	17.59
57	0.82	69	2.41	81	7.26	93	19.16
58	0.90	70	2.64	82	7.96	94	21.36
59	0.98	71	2.90	83	8.72	95	24.79
60	1.06	72	3.21	84	9.54	96	30.67
61	1.16	73	3.55	85	10.41	97	41.31
62	1.28	74	3.92	86	11.30	98 & above	60.73
63	1.40	75	4.31	87	12.22		

The first installment of the LRI premium will automatically be deducted from the amount to be received by the pensioner from the loan. Subsequently, no LRI installment will be collected on the last month of the period of payment of the loan.

Thus, subsequent claim for Funeral and/or Survivorship benefits shall not be answerable for the balance of the pension loan.

10. **LOAN CANCELLATION AND PRE-TERMINATION.** Pensioners shall be allowed to cancel the loan agreement within a period of thirty (30) calendar days from the date of loan granting.

    In case of cancellation of the loan, the borrower shall pay in full the principal amount plus the pro-rata interest covering the days from loan granting up to the date of full payment, which shall not be beyond 30 days from the date of loan granting. The request shall be automatically disapproved upon failure to fully pay within the aforesaid period.

    Pre-termination of the loan, for purposes of loan renewal, shall not be allowed.

11. **RENEWAL OF THE LOAN.** A pensioner with a loan account shall be allowed to renew his or her loan if he or she has been deducted the required twenty four (24) monthly installments and if the conditions on eligibility requirements are met. Applications for renewal may be filed only on the month following the month of the last repayment.

12. **ATTORNEY'S FEES.** Should the GSIS be compelled to file a case for collection or to enforce any right hereunder against the Pensioner-Borrowers or avail of any remedy under the law or this Agreement, the Pensioner-Borrowers shall pay an amount equivalent to twenty-five (25%) percent of all amounts outstanding and unpaid as and for attorney's fees and litigation expenses.

13. **VENUE.** Any legal action, suit, or proceeding arising out or relating to this Agreement shall be brought or instituted in the appropriate courts in the City of Pasay or such other venue at the exclusive option of GSIS. In the event the Pensioner-Borrowers initiate any legal action arising from or under this agreement, for whatever causes, the Pensioner-Borrowers agree to initiate such action only in the City where the principal office of the GSIS is located.

14. **NOTICES.** All notices required under this Agreement or for its enforcement shall be sent through SMS or at the Postal/Mailing Address indicated in the Personal Data portion of this loan application or any other addresses as may be indicated hereafter by the Pensioner-Borrowers to the GSIS. The notices sent to any of the duly indicated addresses shall be valid and for all legal intents and purposes.

I hereby confirm that I have read and fully understood the Privacy Policy of the GSIS pursuant to the requirements of Republic Act No. 10173, otherwise known as the Data Privacy Act, and hereby give/grant my consent to the safety measures to be observed in the use, access, disclosure and processing of the personal and sensitive personal information of employees under my jurisdiction and control.

Furthermore, pursuant to the R.A. No. 9510, otherwise known as the "Credit Information System Act", and its Implementing Rules and Regulations (IRR), I hereby acknowledge and consent to: 1) the regular submission and disclosure of my basic credit data and updates thereon to the Credit Information Corporation (CIC); and 2) the sharing of my basic credit data with lenders authorized by the CIC, and credit reporting agencies and outsourced entities duly accredited by the CIC, subject to the provisions of R.A. No. 9510, its IRR and other relevant laws and regulations.

_____	_____	_____
SIGNATURE OF PENSIONER/BORROWER	**TIN**	**DATE SIGNED**